

9. 9:00 AM CASE NUMBER: C25-01631  
CASE NAME: RACHEL HONG VS. JULIAN ORTON, III  
MOTION TO BE RELIEVED AS COUNSEL AS TO RACHEL HONG  
FILED BY: HONG, RACHEL  
**\*TENTATIVE RULING:\***

The unopposed Motion to be Relieved as Counsel for Rachel Hong is granted. The Court will execute the proposed order lodged with the Court on August 13, 2026. The order will become effective upon service of the order upon the client.

10. 9:00 AM CASE NUMBER: C25-03313  
CASE NAME: MARCELO GIUDICI VS. HERBERT SANDOVAL  
\*HEARING ON MOTION IN RE: TO SET ASIDE AND VACATE THE CLERK ENTERED DEFAULT OF  
HERBERT OMAR SANDOVAL AND SUSANA REYES (HEARING ADVANCED TO 9/18/2026 / SEE M/O OF  
7/13/2026  
FILED BY: SANDOVAL, HERBERT OMAR  
**\*TENTATIVE RULING:\***

Before the Court is a motion to set aside and vacate default ("Motion") filed by defendants Herbert Omar Sandoval and Susana Reyes ("Defendants"). Plaintiffs Giudici Academy NorCal, LLC and Marcelo Giudici ("Plaintiffs") oppose the Motion.

For the reasons set forth below, the Court's ruling is to GRANT Defendants' Motion.

**Background – Facts Alleged in Complaint**

Plaintiffs filed the complaint in this matter on November 12, 2025 ("Complaint"). Around November 13, 2024, Mr. Giudici and Mr. Sandoval entered into an oral contract to form a 50-50 partnership called Giudici Academy NorCal, LLC. (Complaint, ¶ 8 [Giudici Academy NorCal, LLC was to provide Brazilian Jiu-Jitsu classes].) Mr. Sandoval did not make an initial investment but promised that his share of capital would be forthcoming in the near future. (*Ibid.*) Despite being asked for his share of the investment repeatedly, Mr. Sandoval kept stating he would do so in the near future. (*Id.* at ¶ 10.) Defendants' daughter trained at the Academy without paying and obtained uniforms, rash guards, and other apparel free of charge as "the business partners' daughter." (*Ibid.*) Defendant Reyes controlled business operations, including email accounts, social media, and financials such as business account receivables and business account payables. (*Id.* at ¶ 11.)

For several months in a row, from July to September 2025, Mr. Sandoval withdrew an unauthorized \$1,500, as salary, despite Mr. Giudici saying this was not allowed, not agreed to, and improper as there was no employee structure for their business as they were partners and wages need to be taxed in a manner the business was not set up for. (Complaint, ¶¶ 12-14.) In October 2025, Mr. Giudici asked Defendants for the business debit card to purchase an iPad for business use and they refused, stating that they would discuss his use of the debit card in the future. (*Id.* at ¶ 15.) Defendants subsequently made multiple unauthorized withdrawals while on vacation in Florida and Mr. Giudici exercised his fiduciary duty to the business and excluded Defendants from any further

access to the business bank accounts so as to prevent further unauthorized withdrawals. (*Id.* at ¶ 16.) Defendants then blocked Mr. Giudici from accessing the business email and social media accounts. (*Id.* at ¶ 17.) At a subsequent meeting, Mr. Sandoval and Mr. Giudici argued over the partnership and Mr. Sandoval admitted to using partnership funds for personal use and stated he was entitled to them as a business partner. (*Id.* at ¶ 19.) Mr. Giudici told Mr. Sandoval the partnership was not working out as Mr. Sandoval never invested in the business as he was supposed to. (*Ibid.*) Mr. Sandoval made an inappropriate scene at the business in front of students when he picked up his belongings, and scared students and parents with threatening language and behavior. (*Id.* at ¶ 21.)

Defendants then cut Mr. Giudici off from the payment applications and funneled money to themselves for several months. (Complaint, ¶ 22.) Mr. Giudici is unable to fix this issue. (*Id.* at ¶ 23.) Defendants then began disparaging Mr. Giudici by lying to the customers of the business via social media. (*Id.* at ¶¶ 24-27.) Upon inspection of the financial records, Mr. Giudici and counsel found many more unauthorized withdrawals from Defendants, who continue to hold certain financial accounts hostage. (*Id.* at ¶¶ 28-29.)

Plaintiffs assert the following causes of action in the Complaint: Breach of Contract, Conversion, Embezzlement, Breach of Fiduciary, Accounting (CCP § 872.140), Breach of Implied Covenant of Good Faith and Fair Dealing, Tortious Interference of Business Advantages, Civil Theft, Defamation, and Fraud. (Complaint, ¶¶ 1-87.) Plaintiffs seek general damages, treble damages, punitive damages, loss of business, emotional distress, pain and suffering, attorney fees, and pre and post judgment interest. (Complaint, p. 18.)

### **Legal Standard**

A “court may, upon any terms as may be just, relieve a party or the party’s legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect.” (Code of Civil Proc. §473, subd. (b).)

“In a motion under section 473 the initial burden is on the moving party to prove excusable neglect by a ‘preponderance of the evidence.’ ” (*Kendall v. Barker* (1988) 197 Cal.App.3d 619, 624.) “An application for relief under section 473 is addressed to the sound discretion of the trial judge.” (*Id.*, at p. 623.) “While section 473 authorizes a court to relieve a party from default suffered through inadvertence, surprise, excusable neglect or mistake, ‘these words are not meaningless, and the party requesting such relief must affirmatively show that the situation is one which clearly falls within such category.’ ” (*Ibid.*) “[A]ffidavits or declarations setting forth only conclusions, opinions or ultimate facts are insufficient.” (*Id.*, at p. 624.)

A motion pursuant to Code of Civil Procedure Section 473 must be made “‘within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken....’ ” (*Zamora v. Clayborn Contracting Group, Inc.* (2002) 28 Cal.4th 249, 258.) “An attorney has both an ethical and statutory obligation to warn opposing counsel, if counsel’s identity is known, of an intent to seek a default and to give counsel a reasonable opportunity to file a responsive pleading.” (*Shapell SoCal Rental Properties, LLC v. Chico’s FAS, Inc.* (2022) 85 Cal.App.5th 198, 203.) “[B]ecause the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (*Elston v. City of Turlock* (1985) 38 Cal.3d

227, 233.)

### **Request for Judicial Notice**

Plaintiffs request the Court to take judicial notice of: (1) the July 1, 2026 substitution of attorney form filed on behalf of Defendant Susana Reyes; and (2) that the docket reflects that the purported substitution was rejected and not accepted by the Court. (RJN ISO Opposition, pp. 1-3.) The Court GRANTS Plaintiffs' request for judicial notice.

### **Analysis**

Defendants argue that the Court should vacate the default of Defendants and allow them to file their answer. (Motion, pp. 5-6.) Defendants assert that they had retained counsel yet unbeknownst to them, the attorneys they hired failed to properly represent them in this matter, which resulted in their default. (*Id.* at p. 5.) This default was thus the result of mistake, inadvertence, surprise, or excusable neglect. (*Id.* at p. 6.)

Plaintiffs assert in the opposition that Code of Civil Procedure subdivision (a)(1) does not provide independent grounds for vacating an entered default. (Opposition, pp 5-6.) Plaintiffs then argue that Defendants cannot establish mistake, inadvertence, surprise, or excusable neglect. (*Id.* at pp. 6-8.) Plaintiffs argue that Defendants' proposed answer does not entitle them to relief and that the length of delay weighs against discretionary relief. (*Id.* at pp. 8-9.) Plaintiffs then contend that they will suffer prejudice if the defaults are set aside due to delay and further business and litigation expense. (*Id.* at pp. 9-11.) Plaintiffs next assert that the balance of equities does not favor vacating the defaults on this record. (*Id.* at pp. 11-12.) Plaintiffs also point out that the substitution of counsel was rejected and that Defendants' conduct does not warrant the "extraordinary procedural relief requested." (*Id.* at pp. 11-12.) The Court notes that California Rules of Court rule 3.1113(f) requires memorandums that exceed 10 pages to include a table of contents and table of authorities. Despite Plaintiffs memorandum being 14 pages, no table of contents or table of authorities was provided.

On reply, Defendants argue that justice, fundamental fairness and statutory and case law in California heavily favor vacating and setting aside the clerk's entry of default and allowing Defendants to vigorously defend this matter on the merits. (Reply, pp. 1-7.)

The Court will grant Defendants' motion to vacate default. First, the Court finds that Defendants have shown excusable neglect because on March 17, 2026, just one day prior to Plaintiffs' filing for entry of default on March 18, 2026, Defendants' attorney told Defendants that the only repercussion is default and that opposing counsel "won't do that since we are [in] communication to resolve." (Sandoval Decl. ISO Motion, Exh. E.) It was excusable for Defendants to trust their attorneys about this. "[B]ecause the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default." (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.)

Second, Plaintiffs have failed to show that they properly filed for entry of default. The law *requires* an attorney to notify opposing counsel of the intent to seek default and give opposing counsel an opportunity to file a responsive pleading. "An attorney has both an ethical and statutory obligation to

warn opposing counsel, if counsel's identity is known, of an intent to seek a default and to give counsel a reasonable opportunity to file a responsive pleading." (*Shapell SoCal Rental Properties, LLC v. Chico's FAS, Inc.* (2022) 85 Cal.App.5th 198, 203.) Here, neither the Opposition nor the declaration of Jonathan Fu in support of the Opposition show that this occurred. (Opposition, pp. 1-14; Decl. of Jonathan Fu ISO Opposition, ¶¶ 1-7.)

Third, the minute order dated March 13, 2026, for this case states, "DEFENDANTS HAVE BEEN SERVED ON THE CASE. DEFENDANTS NEED TIME TO ANSWER AND OR ATTEMPT INFORMAL SETTLEMENT." (Opposition, Exh. 3.) Plaintiffs' counsel was present for this case management conference and nonetheless, despite that order, proceeded to file the request for entry of default just 3 business days later, on March 18, 2026.

### **Ruling**

For the reasons discussed above, Defendants' motion to vacate default is **GRANTED**. Defendants shall file their answer or responsive pleading within 10 days of notice of entry of this order.

**11. 9:00 AM CASE NUMBER: C25-03386**  
**CASE NAME: CECILY TAYLOR VS. SMITH & COMPANY RESTORATION PRODUCTS, INC.**  
**\*HEARING ON MOTION IN RE: SANCTIONS, ATTORNEY'S FEES AND FILING FEES AGAINST PLAINTIFF PURSUANT TO CCP 128.5**  
**FILED BY: SMITH & COMPANY RESTORATION PRODUCTS, INC.**  
**\*TENTATIVE RULING:\***

The Court on its own motion continues this hearing to October 23, 2026, at 9:00 a.m.

**12. 9:00 AM CASE NUMBER: C25-03739**  
**CASE NAME: SCOTT MCCOY VS. EXACT HOME BUYERS, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY**  
**HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT**  
**FILED BY: RODRIGUES, DEREK**  
**\*TENTATIVE RULING:\***

This hearing is **continued to November 6, 2026** at 9:00 a.m. in this Department. Code of Civil Procedure section 430.41, subdivision (a) and section 435.5, subdivision (a) state nearly identical language concerning meet and confer obligations on a demurrer and motion to strike. The language is as follows:

Before filing a [demurrer / motion to strike] pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the [demurrer / motion to strike] for the purpose of determining if an agreement can be reached that resolves the objections to be raised in the [demurrer / motion to strike]. *If an amended [complaint, cross-complaint, or answer /pleading] is filed, the responding party shall meet and confer **again** with the party who filed the amended pleading*